

"PERSONAL FINANCE IS ONLY 20% HEAD KNOWLEDGE. IT'S 80% BEHAVIOUR!"

– Dave Ramsey
***Finance guru and author of* The Total Money Makeover**

should not regret not having the money because of missed opportunities to create savings. In the case of Arora, his small-town Agra background made life in the big city go to his head, with his newfound financial independence.

"I was trying to make up for all the small things in life I missed living in Agra," he says somewhat defending his spending spree. His friend Rajesh, who is also from a working-class background, was city-bred and understood the need for a financial cushion once he started earning. "My father worked in a government office and though we were comfortable, the value of money was imbibed in us from a young age," he says.

The 'savers' will tell you that what is left of your income after spending is not savings. In fact, the best way to inculcate the savings habit is to spend only what is left after reaching the savings goal. "I haven't found a real big goal like Rajesh to save for. I do save to buy gadgets, clothes or go for a trip with friends," explains Arora. The decision to save should be based on future financial needs, because if one lives with the decision to enjoy today, then it will be at the expense of one's own future. Save for a purpose and, if you do not have a long-term purpose, think of your retirement and save for it.

2 RENT OR BUY A HOUSE

Buying a house is perhaps the single biggest financial decision taken by most Indians. With borrowing money to purchase a house no more a taboo and home loans being easily available, a house purchase is within one's reach. "I was 36 when I bought my house because of family pressures to own one," recollects Noida-based Avinash Sethi, who is now 52. A lot has happened over the past 16 years. Sethi has repaid the loan (he did it four years ago) even though it had a 20-year tenure.

The belief that paying rent is a waste is what drives most people to start exploring the idea of owning a house. What many forget is that renting and buying decisions may not be the same. For instance, one may rent a house closer to work for the convenience it provides but may buy his own house far away because of affordability. "Today, I have two growing kids and my parents living with me and we need a 3-4 bedroom house," explains 32-year-old Gurugram-based Vinay Soota. He is living in a rented accommodation, where his office and the children's school are nearby.

His wife has a part-time job that she can do remotely on most days, which means she needs a space in the house to work. "After Covid, our need for a house has changed from the 2-bedroom flat we were living in, which was comfortable," he adds. The decision to buy a house is emotional and often based on numbers that makes one view buying a better decision than pay-

	PROS	CONS
RENT	Smaller, one-time deposit Limited financial liability No property taxes Fewer unexpected costs Shorter-term commitment	Unexpected rent increases Perpetual payment towards rent Loss of long-term financial opportunity Comes with restrictions
BUY	Builds equity Claim tax deductions No worry of changing homes Potential for increased financial security	Increased financial responsibility High down payment Long-term debt servicing (EMI) Low liquidity Not easy to move homes